Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Direct Testimony

of

The Policy Panel

Date: April 28, 2023

Testimony of The Policy Panel

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I. Introduction and Overview

Q. Please introduce the members of the Policy Panel.

A. The Panel consists of Rudolph L. Wynter, Jr. and James M. Molloy.

Q. Mr. Wynter, please state your name and business address.

A. My name is Rudolph Wynter and my business address is 2 Hanson Place, Brooklyn, New York 11217.

Q. Please explain your role and principal responsibilities at National Grid.

A. I am the President for National Grid USA's ("National Grid") New York business. In my role, I am responsible for the performance of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI," and together with KEDNY, the "Companies"), and Niagara Mohawk Power Corporation d/b/a National Grid ("Niagara Mohawk"). I oversee all aspects of KEDNY, KEDLI, and Niagara Mohawk's business, including gas and electric distribution operations, financial performance, customer interactions, regulatory affairs, and community involvement. I also serve on the boards of directors for KEDNY, KEDLI, and Niagara Mohawk.

Q. Please describe your educational background and business experience.

A. I received a bachelor's degree in mechanical engineering from Pratt Institute and a Master of Business Administration from Fordham University. In my 34-year tenure at National Grid and its legacy companies, I have served in numerous senior and operational roles, most recently as Chief Operating Officer of National Grid's Wholesale Networks and Capital Delivery business. I previously held senior level positions of increasing responsibility in National Grid's Shared Services, Customer Operations, Strategic Planning, and Engineering, and Operations groups. In 2021, I assumed my current role as President for National Grid's New York businesses.

Q. Mr. Molloy, please state your name and business address.

A. My name is James M. Molloy. My business address is 170 Data Drive, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc., a subsidiary of National Grid, as Vice President for Regulation and Pricing – New York.

Q. Please describe your educational background.

A. In 1992, I graduated from Catholic University with a Bachelor of Arts degree in Accounting. In 1994, I received a Master in Business Administration with a concentration in Finance from the William E. Simon Graduate School of Business Administration at the University of Rochester.

Q. What is your professional background?

A. In 1995, I was hired by the New England Power Service Company as an Assistant Rate Analyst. In 1996, I was promoted to the position of Rate Analyst. In 1998, I was promoted to the position of Senior Rate Analyst. In those positions, I was responsible for rate design analysis for various New England Electric System ("NEES") companies. Specifically, I conducted allocated distribution cost of service studies and supported others in the development of cost allocation and rate design studies. In addition, I performed rate and cost allocation analytical work in the unbundling of rates for the NEES retail companies in preparation for industry restructuring. Further, I developed and implemented the rate plan for the merger of Narragansett Electric, Blackstone Electric, and Newport Electric. In 2001, I was promoted to the position of Principal Regulatory Analyst. In this position, I was responsible for the development and implementation of the Niagara Mohawk and National Grid plc merger rate plan. In 2004, I was promoted to Manager of New York accounting. In this position, I was responsible for the books and

records of Niagara Mohawk as well as the regulatory filings associated with the acquisition of KeySpan Corporation. In 2008, I was promoted to the position of Director of Regulatory Compliance. In 2009, I became the Director of Regulatory Accounting. In 2011, I became the Director of Revenue Requirements, and served in that position until 2020 when I assumed my current responsibilities.

Q. Have you previously testified before a regulatory commission?

A. Yes. I have testified numerous times before the Commission, the Massachusetts Department of Public Utilities, and the Rhode Island Public Utilities Commission. I testified on behalf of KEDNY and KEDLI in Cases 16-G-0058 and 16-G-0059 and Cases 19-G-0309 and 19-G-0310 (the "2019 KEDNY and KEDLI Rate Cases"). I also testified on behalf of Niagara Mohawk in Cases 17-E-0238 and 17-G-0239 and Cases 20-E-0380 and 20-G-0381.

Q. What is the purpose of your testimony?

A. Our testimony provides an overview of the Companies' gas rate filings and introduces the witness panels who will provide testimony in support of the Companies' proposals. First, we discuss and reaffirm the Companies' longstanding commitment to safe, reliable, and affordable gas service. Next, we provide background on KEDNY and KEDLI's businesses and outline the Companies' strategic approach for meeting customers' needs through targeted

investments and describe the value proposition for customers. We discuss the factors driving the Companies' need for rate relief and describe the important steps taken to prepare the filings. Finally, and importantly, we discuss the Companies' actions to support the Climate Leadership and Community Protection Act ("CLCPA") and facilitate the energy transition in New York.

Q. Please provide an overview of the Companies' rate filings.

A. National Grid's vision is to be at the heart of a clean, fair, and affordable energy transition. As the stewards of energy networks serving two million customers in downstate New York, the Companies' rate filings are focused on our core mission to provide safe and reliable service. This focus includes infrastructure upgrades to ensure our networks are capable of meeting customers' energy needs and compliance with all safety requirements (which comprise approximately 70 percent of the Companies' capital projects).

The Companies have also taken important steps to maintain energy affordability for our customers. Over the last several years, the Companies have managed to keep delivery rates and our costs of providing service relatively flat. The Companies have also played a role in facilitating meaningful financial relief to customers struggling through the COVID-19 pandemic by providing bill relief programs to aid our financially vulnerable customers, including implementing a

multi-phase arrears management program that has provided approximately $154 million in bill credits to 133,000 customers. In these rate cases, the Companies have identified additional opportunities to assist customers in managing their energy bills, with a particular focus on assisting those in disadvantaged communities.

At a time when New York's energy policies are rapidly evolving to meet the challenges of climate change, the Companies' proposals fully support the state's clean energy goals. The Companies are proposing to (i) significantly reduce system emissions through the retirement of leak prone pipe and the repair of high-emitting leaks (reducing the leak backlog from 2011-13 peak levels by 80 to 90 percent by the end of the proposed rate plan period); (ii) extending an unprecedented ramp-up in energy efficiency, weatherization, and demand response offerings; (iii) continuing to operate with the goal of reducing customers' gas usage; (iv) facilitating electrification for new applicants and pursuing non-pipes alternatives ("NPAs"); and (v) investing in on-system opportunities to decarbonize the gas supply. Taken together, the Companies estimate these proposed investments and programs will reduce cumulative greenhouse gas ("GHG") emissions by more than one million metric tons of CO2e over the course of the proposed four-year rate plan.

To fund the projects and programs necessary to modernize our infrastructure, expand demand reduction offerings, remediate legacy environmental conditions, and maintain a high-level of customer service, we must update delivery rates to reflect the true cost of providing gas service. Therefore, KEDNY and KEDLI seek to increase revenues by $414 million and $228 million, respectively, to eliminate revenue deficiencies in the twelve months ending March 31, 2025 ("Rate Year"). For typical residential heating customers, the proposed base rate increases would result in delivery increases of 28 percent (17 percent on the total bill) for KEDNY customers and 24 percent (14 percent on the total bill) for KEDLI customers. While these rate increases are significant, they are necessary to enable continued safe and reliable service in a rising cost environment. Exhibit ___ (POLICY-1) provides a summary of the revenue requirement increases by cost category.

To offset the need for rate relief and mitigate the impact of the proposed increases, the Companies are doing their utmost to manage controllable costs in one of the highest inflation environments in many years and have implemented various saving measures. Our work to identify efficiencies has reduced the combined revenue requirements by approximately $65 million in the Rate Year, and the Companies further reduced rates by $7 million to reflect the

Commission's typical one percent productivity adjustment, for a total of approximately $72 million in savings in the Rate Year alone.

While the Companies' filings propose new rates in the Rate Year, we are interested in exploring a multi-year rate plan settlement that would allow for a phase in of these revenue increases and the ability to manage the impact on customers' bills. To facilitate settlement discussions, the Companies have included cost projections for three years (the "Data Years") beyond the Rate Year.

Q. Please described National Grid's long-term strategy for evolving its gas business to achieve New York's energy goals.

A. National Grid strongly supports New York's goals to reduce GHG emissions economy-wide and achieve net zero emissions by 2050. In April 2022, we announced our *Clean Energy Vision*, a plan to decrease reliance on fossil fuels from our gas and electric systems. This aspiration recognizes our critical role in leading the clean energy transition for the future generation of customers. Our plan rests on four pillars: first, aggressively accelerating weatherization and energy efficiency improvements to buildings; second, supporting cost-effective, targeted electrification on our gas network, including piloting networked geothermal solutions, to electrify as much as 50 percent of the heating load by 2050; third, in areas where full electrification may not be practical or cost-

effective, providing customers with the tools to pair electric heat pumps with their gas appliances; and, finally, eliminating fossil fuels from our existing gas network no later than 2050 by delivering renewable natural gas ("RNG") and green hydrogen to customers.

In March 2023, following a public input and comment process agreed to in the 2019 KEDNY and KEDLI Rates Cases, the Companies released their "CLCPA Study," which assessed the energy infrastructure, customer adoption, costs, and emissions impacts of three decarbonization pathways: two electrification-focused scenarios identified in the New York Climate Action Council's ("CAC") Integration Analysis and a third pathway consistent with National Grid's *Clean Energy Vision*. The key findings in the CLCPA Study, which have informed elements of the investments and programs proposed in these rate filings, include:

- Expanding investment in energy efficiency, weatherization, and customer-side technologies, together with regulatory policies supporting the development of renewable fuels and improved coordination and planning across gas and electric networks, are essential to any effective decarbonization pathway.
- The costs of customer-side investments required to support building decarbonization must be carefully considered in the interest of maintaining affordability, with particular focus on a fair and equitable transition for low- and moderate-income customers and Disadvantaged Communities.

- Achieving net zero will be costly under any scenario, but the strategies identified in the *Clean Energy Vision* could lower energy system and total customer costs, supporting a more affordable pathway to net zero by avoiding billions in infrastructure costs relative to electrification-focused pathways.
- Regulatory and policy reforms must address long-term gas network affordability, while at the same time advancing prudent policies to address depreciation of existing energy networks. Reasonable increases in depreciation expenses today would allow for significant reductions in future bill impacts, while also supporting ratemaking principles of intergenerational equity, cost causation, and avoidance of future rate shock.

While these rate filings are ultimately about setting gas delivery rates for the next several years, the cases also present an opportunity to advance measured, no-regrets projects and programs to support the goals of the CLCPA and the *Clean Energy Vision*. The CLCPA Study, CAC's Scoping Plan, and the Commission's order on CLCPA implementation have helped us to develop rate filings focused on improving core gas service while also advancing well-supported public policies in the areas of emissions reduction, demand-side management, vehicle electrification, and fuel decarbonization.

Outside of these rate proceedings, the Companies are actively participating in the policy discussions that will shape the energy landscape for future generations, including the Commission's CLCPA Proceeding (Case 22-M-0149), the Gas Planning Proceeding (Case 20-G-0131), the Energy Efficiency Proceeding (Case 18-M-0084), and the Geothermal Networks Proceeding (Case 22-M-0429). These proceedings are considering important, statewide policy issues, such as GHG emissions inventory reporting, GHG emissions reductions pathways, potential policy adjustments to facilities entitlements for new connections (*i.e.*, the 100-foot rule), development of an NPA framework, analyses of future gas-system depreciation scenarios, energy efficiency targets, budgets, and incentives, as well as opportunities to advance network geothermal pilot projects. The Companies discuss the implications of these issues throughout the rate filings but defer the resolution of statewide energy policy to those proceedings. To the extent the Commission issues orders and decisions in those matters (*e.g.*, updated energy efficiency budgets) during the pendency of this case or the subsequent rate plan, the Companies propose to incorporate mechanisms to allow for implementation of the programs and recovery of the associated costs to ensure continued progress on these important policy issues.

Q. Please introduce the other witnesses who provide testimony in the Companies' filings.

A. In addition to our testimony, the Companies' rate case filings are supported by the testimony of 15 witnesses or witness panels. The witnesses and the subjects they address are as follows:

- The Climate Leadership and Community Protection Act Panel describes National Grid's support for New York's clean energy transition and explains how the initiatives proposed in these proceedings help advance the transition, achieve the State's energy targets, and satisfy the requirements of the Commission's order on CLCPA implementation.
- The Gas Infrastructure and Operations Panels discuss the Companies' plans to deliver necessary investments in gas infrastructure, including the sustained replacement of leak-prone pipe ("LPP"), investments to promote the safe and reliable operation of the gas networks, and investments to upgrade facilities (*e.g.*, operating yards) and electrify fleet vehicles. The panels also discuss the Companies' operations and maintenance costs to provide service to customers, as well as the incremental work that is driving cost increases, particularly in New York City. Finally, the panels outline the Companies' proposals to enable new sources of on-system supplies of low-carbon fuels to reduce emissions from the gas supply.

- The Gas Safety Panel presents the Companies' proposals for new gas safety programs and gas safety performance metrics, including expanded deployment of methane detection, enhancements to training and qualifications, and additional safety inspection, contractor oversight, and quality control capabilities.
- Joshua C. Nowak of Concentric Advisors addresses the Companies' cost of equity capital, and the Capital Structure Panel discusses the Companies' overall cost of capital and capital structure.
- The Human Resources Panel describes the Companies' compensation and benefits programs and efforts to control the costs of those programs.
- Ned W. Allis of Gannett Fleming Valuation and Rate Consultants, LLC presents the Companies' proposed gas depreciation rates for the Companies' respective gas assets.
- Charles F. Willard, Director of Site Investigation and Remediation, discusses the Companies' environmental remediation programs, efforts to control and mitigate remediation expense, and forecast costs.
- The Customer Panel discusses the Companies' proposals for expanding demand reduction programs, including energy efficiency, demand response, and weatherization programs; enhancement to customer service capabilities (*e.g.*, customer contact center and language access improvements); energy affordability programs and associated customer

outreach; collections practices; proposals for challenging customer service quality metrics; and initiatives to improve the customer experience.

- Patric R. O'Brien, Vice President of Regulation and Pricing, provides an overview of the recent Commission management audit.
- The Gas Load Forecasting Panel presents the Companies' gas sales forecasts.
- The Gas Supply Panel discusses the Companies' efforts to purchase natural gas supplies on a reliable, cost-efficient basis.
- The Information Technology and Digital (IT&D) Panel describes the major IT investments and initiatives during the Rate Year and Data Years.
- The Revenue Requirements Panels discuss the revenue requirements for the Rate Year and describe the Companies' efforts to review the Historic Test Year (twelve months ended December 31, 2022) to ensure the accuracy of direct and allocated costs. The panels also discuss the Companies' efforts to mitigate customer bill impacts through various efficiency programs.
- The Rate Design Panels address the marginal and embedded cost of service studies, the revenue forecast, revenue allocation, rate design, and customer bill impacts.

II. Background and Rate History

Q. Please describe the Companies.

A. KEDNY serves approximately 1.3 million customers in the Boroughs of Brooklyn, Queens, and Staten Island in New York City with approximately 4,100 miles of gas distribution main. KEDLI serves approximately 600,000 customers in Nassau and Suffolk Counties on Long Island and the Rockaways in New York City with approximately 8,200 miles of gas distribution main. Combined, KEDNY and KEDLI have approximately $9.7 billion invested in energy infrastructure (rate base) in downstate New York. Both Companies (and their predecessors) have served customers in these territories for more than 100 years and operate gas distribution systems that are among the oldest in the United States.

Q. Please describe the role the Companies play as community partners.

A. Our employees live and work in the communities we serve – and our commitment to these communities goes beyond delivering safe, reliable energy. The Companies have a long history of community engagement and dedication to improving residents' quality of life through charitable giving and volunteerism, economic and workforce development, educational programs, and environmental justice and social equality initiatives. We are committed to partnering with customers, municipalities, community organizations, advocates, and neighbors to

meet local energy needs. The best example of our commitment is "Project C" – the Companies' effort to inspire positive change, create meaningful neighborhood impact, and strengthen communities through programs focused on environmental justice, workforce development, volunteerism, and more. Collectively, the Companies' Project C efforts in fiscal year 2023 alone have included more than $2.5 million in funding and approximately 1,200 employees contributing more than 6,400 volunteer hours to support the communities we serve.

Q. Please describe the Companies' recent ratemaking history.

A. The Companies last filed for base rate increases in the 2019 KEDNY and KEDLI Rate Cases. The Joint Proposal adopted in those proceedings provided for a three-year rate plan for each of the Companies commencing April 1, 2020, and continuing through March 31, 2023, with the option for a one year "stayout" period. That settlement, which was negotiated at the height of the COVID-19 pandemic, prioritized affordability for the Companies' customers by significantly reducing requested revenue increases, deferring a billion dollars of capital projects, eliminating discretionary programs, and shaping rates with approximately $100 million of credits. The result was an initial 0 percent increase in the first year with moderate revenue increases of no more than two percent in years two and three.

While the Companies' rates have increased modestly over the past fifteen years, the Companies' cost containment efforts and relatively low commodity costs have contributed to an extended period of energy price stability. Adjusted for inflation, customers paid less last winter than they did 15 years ago despite billions of dollars invested in infrastructure upgrades, energy efficiency, safety mandates, and new requirements associated with the CLCPA. Tables 1 and 2 below depict the average annual, inflation-adjusted residential gas heating bills for KEDNY and KEDLI, respectively.

Table 1: KEDNY Average Annual Residential Heating Bill
Real Dollars (1,000 Therm Annual Usage)

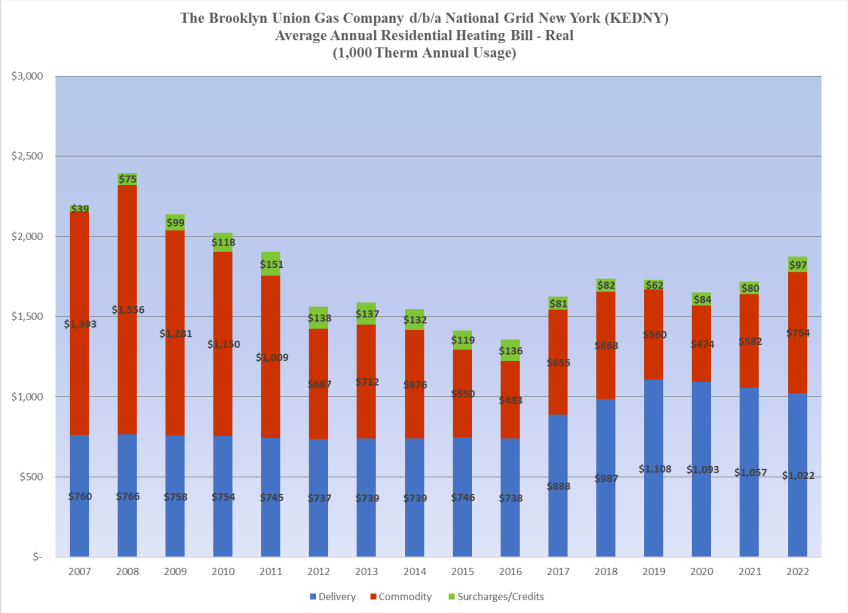
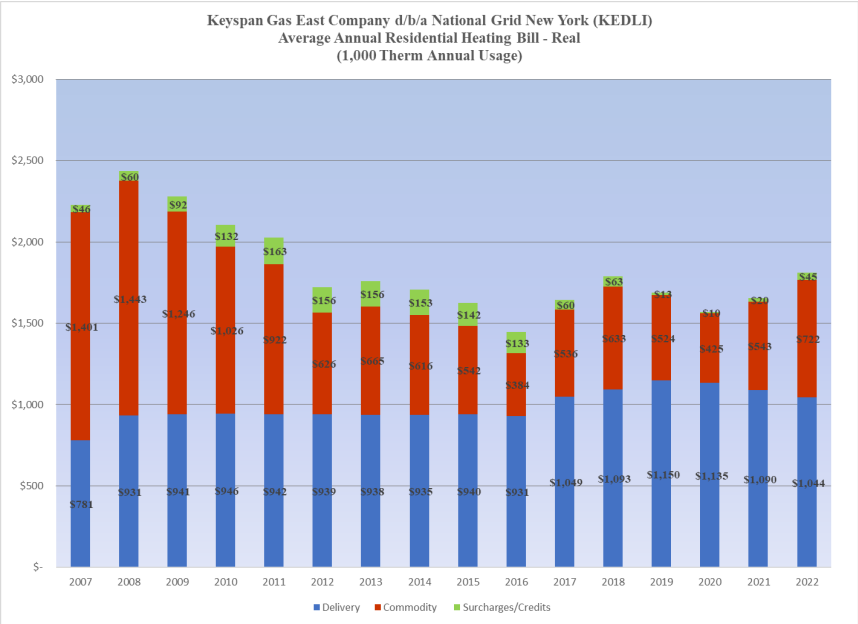


Table 2: KEDLI Average Annual Residential Heating Bill
Real Dollars (1,000 Therm Annual Usage)



Q. What commitments did the Companies make in the 2019 KEDNY and KEDLI Rate Cases that are applicable to this rate filing?

A. Recognizing the sustainability and affordability imperatives precipitated by the pandemic and New York's adoption of the groundbreaking CLCPA, the Companies' current rate plan includes a set of unprecedented commitments to progress the gas business and adopt new ways of working. Among other things, the Companies committed to (1) prepare and file the CLCPA Study describing how the Companies would evolve their businesses to meet the State's energy goals, a commitment the Commission subsequently adopted for all utilities in the

State as part of the "Order on Implementation of the Climate Leadership and Community Protection Act;" (2) develop a study considering the impacts of energy policy on depreciation rates and prepare a report regarding the cost of facilities (*e.g.*, main and service lines for connecting customers) provided to new customers and how those costs could be used to provide incentives for electric thermal options; (3) manage the gas business with the goal of reducing billed gas usage; (4) not engage in gas marketing activities, terminate any gas conversion and other incentive programs, and work with various partners to promote the adoption of geothermal and other alternate energy options; (5) promote electrification options to gas applicants; (6) implement an NPA analysis for proposed capital investments; (7) enhance GHG emissions analysis and reporting; and (8) implement a new process to independently assess the need of certain on-system supply projects and condition recovery on the Companies' success in advancing non-infrastructure solutions, including aggressive energy efficiency and demand response targets.

Q. Have the Companies delivered on those commitments?

A. Yes. As discussed above, the Companies, along with Niagara Mohawk, filed a comprehensive CLCPA Study in March 2023 discussing how the gas business can evolve to meet the goals of the CLCPA and other climate laws. The Companies have also discontinued gas marketing and are instead providing new gas

applicants with information on their options to electrify and secure available financial assistance. As discussed in the direct testimony of the Gas Infrastructure Operations Panels, the Companies have implemented NPA analyses as part of the gas planning process and expanded GHG reporting (including for the projects presented in these cases). Significantly, the Companies committed to utilize the tools at their disposal – energy efficiency and weatherization, demand response, NPAs, and outreach and education on electrification and other alternative heating options – to reduce the amount of gas consumed by customers over the term of the rate plan.

Q. Please explain the Companies' current need for rate relief.

A. In the 2019 KEDNY and KEDLI Rate Cases, the rate case parties worked hard to prioritize affordability for customers dealing with the health and financial impacts of COVID-19, which was achieved by reducing the scale of proposed investments and programs, deferring recovery of certain costs of providing service, and utilizing substantial credits to offsets costs. While the Companies have managed to keep the cost of delivering energy flat between rate cases, there are several factors prompting the need for the requested rate relief: (1) the rising cost of materials due, in part, to inflation and supply chain shortages; (2) increases in contractor costs; (3) federal and state pipeline safety mandates; (4) property tax increases; and (5) costs to deliver expanded energy efficiency and other demand

reduction offerings. The Companies also discuss the need to update rates to ensure future generations do not bear a disproportionate share of infrastructure investments (*i.e.*, depreciation) and legacy environmental remediation costs. Failure to address these ratemaking issues now will make it difficult to fund the future investments necessary to facilitate the energy transition.

Significantly, the current rate levels will not permit the Companies to recover their reasonable costs of providing safe and reliable service. Current rates would also not permit the Companies to earn a reasonable rate of return on investments, or attract the capital required to fund needed infrastructure upgrades in coming years. Continued funding for capital investments and improvements is needed to modernize the gas system, enhance pipeline safety, mitigate the effect of future severe weather incidents, and reduce methane emissions. These investments will also allow the Companies to meet mandated federal, state, and local regulatory requirements, which now account for approximately 70 percent of total capital expenditures. The Companies' proposal brings their respective rates of return to reasonable levels, while, as discussed above, mitigating the impact on customers.

Q. Please describe the Companies' approach to updating gas depreciation rates in these rate filings.

A. The Companies propose to update and increase the depreciation expense (recovery of rate base) under the traditional (straight-line) method adopted in previous rate cases, as well as recovering portions of the reserve deficiencies identified in the Companies' depreciation study. To mitigate the impact of the adjustments, the Companies propose to phase in the depreciation expense increase and defer the amortization of the reserve deficiency until the first Data Year. KEDNY is also proposing to accelerate depreciation of its LPP assets because the asset lives will be shortened by the LPP retirement programs. KEDLI made this change in the 2019 KEDNY and KEDLI Rate Cases but, because of bill pressures, the rate case parties agreed to defer similar treatment for KEDNY. As described by Company Witness Allis, these are important first steps to adjust depreciation rates where they need to be, but do not fully address the need to update depreciation rates going forward.

In November 2022, the Companies filed a depreciation study in the Gas Planning Proceeding (Case 22-G-0131) that considered the potential impacts of decarbonization policies on gas depreciation expense and rate base recovery. Among other conclusions, the study found that, while accelerated depreciation will lead to customer bill increases in the near term, these bill impacts will be

reduced if recovery of incremental depreciation expense can begin sooner rather than later and spread increases over a larger number of years and customers.

Careful consideration of the accelerated recovery of rate base, as well as other depreciation mechanisms such as "units of production" rates, is critical to achieving a fair and just energy transition, balancing affordability with the fundamental ratemaking principles of intergenerational equity, cost causation, and gradualism. While the Companies have not included policy-driven depreciation proposals in these rate filings, the Companies fully anticipate the Commission will address the issue in the pending Gas Planning Proceeding. Given the evolving policy in this area, KEDNY and KEDLI propose that any multi-year settlement should include a rate mechanism that would allow the Companies to effectuate the Commission's policy determinations if decided during the term of the rate plan.

III. Objectives for the Rate Filing

Q. What are the Companies' overall objectives for this filing?

A. We have three objectives for these rate filings: First, continuing the Companies' commitment and obligation to deliver safe, reliable service to customers. Second, enabling customers to affordably meet their energy needs. Third, enabling the energy transition and advancing the goals in the CLCPA and Scoping Plan.

A. Delivering Safe, Reliable Service

Q. Please provide an overview of the Companies' proposed investments to meet mandated requirements and reliability.

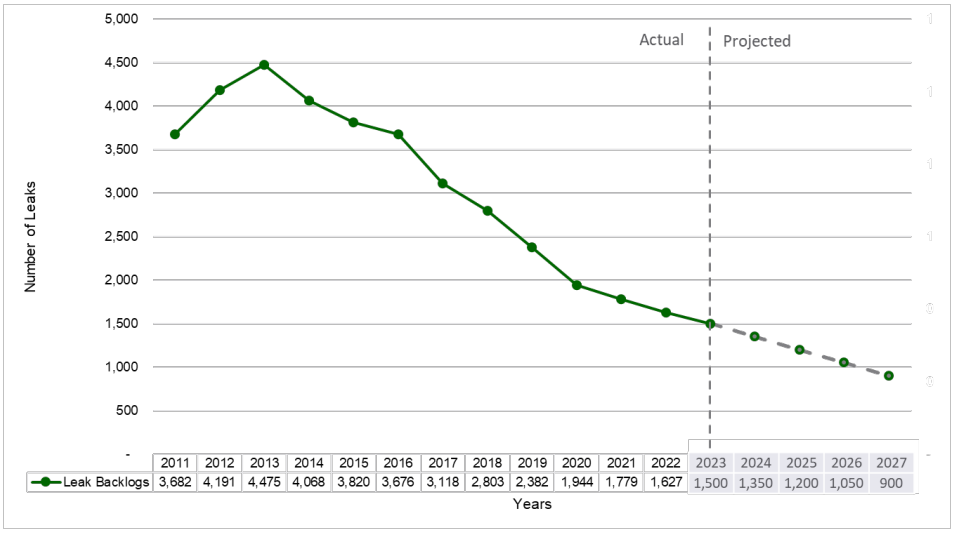
A. The Companies' capital plans are focused on the proactive replacement of LPP, integrity management and verification programs, implementing the Commission's Operator Qualifications requirements, and city-state construction ("CSC"). The costs associated with these programs have continued to increase due to several factors, including inflation, higher labor costs, and new safety requirements, as well as the impending expiration of the CSC cost-sharing agreement with the City of New York.

Q. Please describe the Companies' proposals to replace LPP.

A The U.S. Department of Transportation's Pipeline and Hazardous Materials Safety Administration ("PHMSA") initiated a "Call to Action" to repair, rehabilitate, and replace aging cast and wrought iron, as well as bare steel, natural gas pipe, often referred to as LPP. As of 2022, the most recent year PHMSA has reported data, New York has among the highest concentrations of LPP in the country – much of which is found in the Companies' service territories. The Companies continue to believe replacing LPP is a safety imperative. The CAC similarly recommended prioritizing LPP repair or replacement as a means of reducing emissions and ensuring safety during the energy transition.

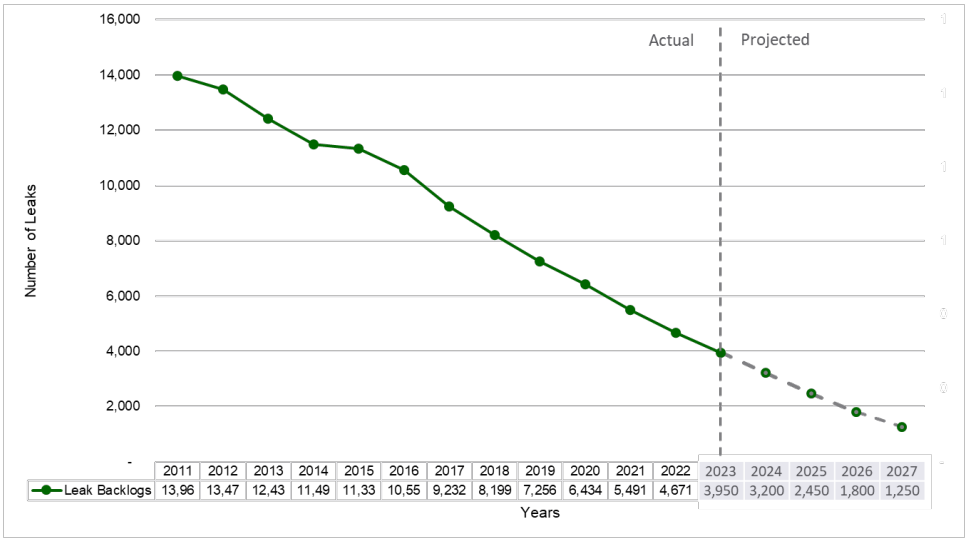
Since launching our LPP program in 2013, we have retired more than 1,500 miles of main in downstate New York. Our program prioritizes the highest-risk, high-emitting pipeline segments to ensure we are directing resources to the projects that will provide the most value when considering safety, reliability, and emissions. As a direct result, we have made great strides in eliminating system leaks:

Table 3: KEDNY Leak Backlog 2011-2027



	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Leak Backlogs	3,682	4,191	4,475	4,068	3,820	3,676	3,118	2,803	2,382	1,944	1,779	1,627	1,500	1,350	1,200	1,050	900

Table 4: KEDLI Leak Backlog 2011-2027



	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Leak Backlogs	13,96	13,47	12,43	11,49	11,33	10,55	9,232	8,199	7,256	6,434	5,491	4,671	3,950	3,200	2,450	1,800	1,250

By the end of the proposed rate plan period, KEDNY will have reduced its leak backlog by 80 percent and KEDLI by more than 90 percent compared to the peaks experienced in 2011 to 2013.

When it comes to emissions reductions, LPP is also the best tool for reducing fugitive methane from the gas distribution system. The LPP program has reduced direct system emissions from mains by an estimated 28 percent at KEDNY and 32 percent at KEDLI.

At the same time, we are very focused on mitigating the impacts of our capital investments on customer bills, which necessitates a new approach. Rather than continuing to accelerate the pace of replacements at the scale approved in prior

cases, we are proposing moderated programs that slightly decrease average mileage targets and allow us to continue our progress through a more deliberate strategy. We are also exploring new ways to achieve LPP retirements through more efficient NPAs, including electrification options in cases where we can identify a sufficient number of customers willing to convert to alternative heating options.

LPP retirement is just one component of our approach to addressing system leaks and reducing emissions. We are also proposing a very aggressive plan to repair gas leaks that will drive further reductions, including a new program that builds on work with the Environmental Defense Fund to deploy advanced leak detection technology to identify and prioritize the repair of high-emitting leaks.

In summary, our LPP proposal balances operational considerations and affordability through a moderated approach that uses data to target projects providing the greatest safety and emissions benefits, while advancing new approaches to eliminating leaks and serving customers. Continued investments in main replacement programs, leak repair, and enhanced work practices will reduce gas losses, methane emissions, and GHG emissions, all which will contribute to the attainment of National Grid and State emissions targets. Further detail on the

proposals is addressed in the direct testimony of the Gas Infrastructure Operations Panels and the Gas Safety Panel.

Q. What are the other important infrastructure investments proposed in these filings?

A. Our proposals to modernize gas infrastructure will help the Companies operate the gas system in a safe and efficient manner. For KEDNY, investment in the CSC (municipal interference) program will provide continued support for mandated municipal projects that impact our facilities, while also providing the opportunity to address LPP in those areas. For KEDLI, investment highlights include pipeline integrity and reliability programs that will improve the overall safety and performance of the gas system. These programs and their projected costs and benefits are outlined in the testimony of the Gas Infrastructure and Operations Panels.

Q. What are the Companies' proposals to enhance their safety programs?

A. The Companies are committed to ensuring the safety of the public and employees. This commitment is reflected in the Companies past performance against their safety metrics, demonstrating considerable reductions in instances of system damage, emergency response times, leaks, and violations. In 2022, the Companies again met or exceeded all safety metric targets.

Nevertheless, the Companies remain focused on delivering continuous safety improvements by identifying, assessing, and managing risks with prudent investments. These include investments in new training and testing facilities; advanced metering and methane detection technology to enable more effective emergency responses to gas leaks; expanded safety inspections and a new leak survey program that will use leak detection technology to identify and repair high-emitting leaks; a meter relocation program to move thousands more meters outside; a voluntary integrity management program that will expand the facilities subject to rigorous integrity testing; and a gas safety public outreach program that will target gas safety messaging to 1.4 million multi-dwelling locations, where tenants currently use gas service but may not receive bills with important gas safety information.

Q. What are the Companies doing to hire and train the next generation of utility workers?

A. National Grid has thousands of highly skilled, dedicated employees that support our businesses and customers in New York. However, the broader utility industry is facing a challenge because of the aging demographic of the utility workforce. National Grid is not immune to this challenge and, in the coming years, many of our most experienced and skilled utility professionals will be eligible for retirement. Accordingly, it is imperative that we attract and retain the next

generation of utility workers to support our business, as well as operate and maintain our gas infrastructure. The Companies continue to analyze workforce demographics and future business requirements and develop plans to address short and long-term planning needs. Additionally, the Companies will continue to partner with vocational schools, community colleges, and other organizations to create a job "pipeline."

Q. What are the Companies' proposals and strategy for upgrading IT?

A. Modern energy networks rely on state-of the-art information systems to monitor, manage, and optimize system performance, support state and federal energy goals, address emerging utility and market trends, meet evolving customer and business demands, and stay ahead of emerging cybersecurity threats. Many of National Grid's legacy systems, however, are at or near the end of their useful lives and rely on outdated technology that is insufficient to support evolving business requirements. Aged infrastructure is more prone to outages and extended down time, which can negatively impact network reliability and resiliency. The current systems lack the flexibility needed to drive performance improvements and efficiencies for the Companies and our customers in the future. The testimony of the IT&D Panel discusses in more detail the Companies' investment levels, our strategy to deliver on these information systems

investments, and how we propose to report on these investments to the Commission.

B. Meeting the Needs of Our Customers

Q. How do the rate filing proposals support customers?

A. Being at the heart of a clean, fair, and affordable energy future begins with a focus on our customers. In doing so, the Companies seek to deliver for our customers efficiently, while enabling the energy transition for all. With the investments in this case, the Companies prioritize affordability by mitigating delivery costs, enhancing access to low-income benefits and energy-saving programs, and continuing to build on the collaborative arrears management program bill relief, which has benefited more than 133,000 customers.

As discussed in the direct testimony of the Customer Panel, the Companies also propose to enhance the customer experience by (i) improving customer interactions through enhanced systems and more customer-focused resources, (ii) targeting energy efficiency and affordability benefits to customers in Disadvantaged Communities, and (iii) helping small business customers better manage their energy consumption and navigate utility billing.

Q. How have the Companies used efficiencies to mitigate delivery costs?

A. As discussed in the testimony of the Revenue Requirements Panels, the Companies are committed to identifying opportunities to be more efficient and productive for the benefit of customers. That commitment includes savings achieved through National Grid's aggressive efficiency efforts, known as the Evolution Program. Taken together, the Companies propose to return approximately $65 million in annual Evolution-related savings to offset rising costs. In addition, the Companies have incorporated a one percent productivity adjustment, totaling approximately $7 million in the Rate Year. Collectively, the Rate Year includes approximately $72 million in cost reductions to promote affordability for customers.

Q. Please explain how the Companies propose to expand affordability program participation, manage bills, and improve customer interactions.

A. In addition to the Companies' ongoing commitment to mitigating costs and identifying efficiencies, the Companies propose to expand the successful Consumer Advocate program, eliminate credit/debit card fees, increase residential account management resources to help customers at high risk of entering the collection process, and identify ways to expand enrollment in the Companies' Energy Affordability Program.

The Customer Panel also discusses the Companies' plans to improve customer interactions through enhanced self-service and digital offerings, as well as utilization of additional Spanish-speaking vendors to assist non-English speaking customers seeking to interact with the Companies' contact center.

Q. How are the Companies prioritizing Disadvantaged Communities?

A. One of National Grid's priorities is enabling a fair and equitable energy transition for all. This principle is also captured in the CLCPA and the Scoping Plan – both of which focus on delivering benefits to Disadvantaged Communities. To deliver on this priority, the Companies are proposing to enhance their outreach to such communities, implement an energy efficiency language access pilot that "meets customers where they are" by facilitating adoption of energy-saving technologies among non-English speaking customers, and by reframing the Companies' economic development programs to target businesses in Disadvantaged Communities. We are also mindful of the recent commitment in Consolidated Edison of New York Inc.'s ("Con Edison") joint proposal around disadvantaged community reporting and the Companies are working with stakeholders in the CLCPA Proceeding to adopt a similar reporting structure.

C. Advancing the CLCPA Goals

Q. Are the Companies' proposals in this case consistent with the CLCPA?

A. Yes. As outlined in the "Order Implementing the CLCPA," the Commission must consider whether the Companies' proposals: (1) are consistent with attaining statewide GHG emission limits, (2) do not disproportionately burden Disadvantaged Communities, and (3) prioritize reductions of GHG emissions and co-pollutants in Disadvantaged Communities.

Q. Please describe how the Companies' proposed investments will reduce GHG emissions.

A. In these rate filings, the proposed investments seek to reduce GHG emissions consistent with the CLCPA by eliminating fugitive emissions through infrastructure investments, reducing gas demand, and decarbonizing the gas supply. Collectively, the Companies estimate the proposals in this case will reduce GHG emissions by more than one million metric tons of CO2e over the four-year term of the proposed rate plan.

As discussed above and in the direct testimony of the Gas Infrastructure Operations and Gas Safety Panels, the LPP retirement program is a key component of our approach to reducing methane emissions and eliminating system leaks. KEDNY proposes to proactively replace approximately 41 miles of

LPP per year, with an estimated total of 166 miles during the proposed four-year rate plan. Likewise, KEDLI proposes to proactively replace approximately 114 miles of LPP per year, with an estimated total of 456 miles during the proposed four-year rate plan.

Q. Do the Companies propose any other investments to reduce fugitive emissions?

A. Yes. The Companies anticipate additional GHG emissions reductions from the implementation of the proposed Advanced Leak Detection program, as well as continued efforts to reduce the leak backlog. These programs are discussed in the direct testimony of the Gas Infrastructure and Operations Panels.

Q. How do the Companies propose to reduce GHG emissions by reducing gas usage?

A. In addition to an expanded portfolio of energy efficiency offerings, the Companies are again committing to operate their businesses with the goal of reducing billed gas usage, identifying NPAs in lieu of traditional gas infrastructure projects, and referring prospective customers to the electrification programs offered by peer electric utilities.

As discussed in the direct testimony of the Gas Infrastructure Operations Panels, the Companies have implemented NPA analyses as part of their capital planning efforts. The Companies are reaffirming their commitment to annually identify at least five LPP segments that could be retired using NPAs, if affected customers consent to electrification or other alternative heating options.

Both KEDNY and KEDLI propose to continue their existing electrification referral program. The program involves referring prospective gas customers who are potential candidates for electrification programs (*i.e.,* heat pump programs) offered by either Con Edison or PSE&G Long Island/Long Island Power Authority ("PSEG-LI/LIPA"). In calendar year 2022, the Companies collectively referred nearly 800 customers to the peer utility programs. Electrification is a key pillar to achieving the CLCPA goals, and the Companies will continue to use the referral program as an opportunity to facilitate increased heat pump adoption.

Q. How do the Companies propose to expand energy efficiency offerings?

A. There is no better tool for managing bills and lowering emissions than energy efficiency - enabling customers to use less energy. Energy efficiency investments provide GHG reduction immediately and are also a means of giving customers greater control over energy consumption, which helps to address energy affordability. Accordingly, the "cornerstone" of our *Clean Energy Vision* is

aggressively accelerating insulation, weatherization, and other energy efficiency improvements to existing buildings – and we have made significant progress expanding the scope and scale of our efficiency offering. In 2022, we achieved 50 percent more energy efficiency than in 2019, while also reducing gas usage through expanded weatherization and demand response programs.

The Commission's landmark *New Efficiency New York* (NE:NY) proceeding (Case 18-M-0084) dictates all meaningful aspects of Companies' energy efficiency programs, including program design, administration, targets and budgets – and the ongoing "Interim Review" in that proceeding will assess progress to date and consider modifications to the energy efficiency portfolio that will improve performance and ensure alignment with evolving state policies. Nevertheless, the Companies propose several enhancements to facilitate further adoption of energy efficient technologies and achieve greater savings. Specifically, the Companies propose to offer customers a weatherization health and safety program, a pilot program to develop a digital building replica that will assist in identifying opportunities for whole-building energy efficiency improvements, and a clean energy advisors program to complement NYSERDA's regional energy hubs.

Q. Please describe the Companies commitment to reducing the need for additional supply capacity through demand response.

A. Demand response is an important component of the Companies' overall commitment to manage their need for additional supply capacity. The Companies operate four firm demand response programs: Load Shedding and Load Shifting for commercial, industrial, and multi-family customers, and the Bring-Your-Own-Thermostat ("BYOT") and behavioral demand response programs for residential customers. Collectively, the Companies' portfolio of demand response programs has eliminated the peak gas usage equivalent of approximately 160,000 residential homes and most recently provided much-needed relief during an upstream supply shortage event that occurred over the Christmas holiday in 2022. The Customer Panel describes the Companies proposals to continue these successful programs as part of the proposed four-year rate plan. As discussed in the testimony of the Rate Design Panels, the Companies are also proposing to increase the discounts for the non-firm demand response rate classes to further incentivize customers to continue participating in that key peak-reduction initiative.

Q. How are the Companies aspiring to reduce GHG emissions by decarbonizing the gas system?

A. As discussed above, one pillar of the Companies' *Clean Energy Vision* is the aspiration to eliminate fossil fuels from our existing gas network no later than

2050. The Companies believe a balanced approach to the energy transition must consider how the existing energy network, which the Companies have constructed over decades to meet the significant energy needs of approximately two million customers, can provide continued value. Rather than stranding or abandoning the considerable infrastructure used today, the Companies believe a better approach is to repurpose the existing network through decarbonization. To this end, the Companies propose two investments intended to inform the GHG emissions reduction pathway discussion: (i) interconnections with third-party RNG projects located in the service territories and (ii) a unique opportunity to enhance an existing green hydrogen facility in partnership with the Town of Hempstead for blending in a closed system on Long Island.

Q. Why do the Companies believe RNG and green hydrogen blending projects are an important part of the clean energy transition?

A. The Commission has indicated that RNG, as well as demand response and energy efficiency, is an important part of collective efforts to ensure reliability of the gas system by slowing growth and reducing demand, even suggesting the Company should invest "more heavily" in these options to address unanticipated operational changes on the system. As set forth in the direct testimony of the CLCPA and Gas Infrastructure Operations Panels, the Companies' targeted approach to RNG interconnections align with this approach.

Q. Please describe the Companies' RNG interconnection proposal.

A. The Companies have an important role to play in connecting RNG projects to the gas distribution system. To effectively and safely interconnect RNG projects, the project developer must ensure the RNG satisfies gas-quality requirements, the RNG injection pressure is properly regulated, and confirm the gas has been odorized. Given our breadth of experience with each of those three phases of gas delivery, the Companies can help reduce the barriers to entry for RNG suppliers, thereby helping to decarbonize the gas network and ensuring its safety.

Q. Please describe KEDLI's green hydrogen proposal.

A. The HyGrid Project provides a unique opportunity to leverage an existing green hydrogen production facility at the Town of Hempstead's Department of Conservation and Waterways' facility on Long Island. The original facility, which uses a wind-powered electrolyzer to produce hydrogen for use in vehicles, was constructed in 2009. The project proposed here seeks to upgrade and expand the existing facilities, enabling KEDLI to blend up to 20 percent hydrogen into the existing distribution system supplying service to approximately 840 customers.

Q. Please describe the Companies' proposal to electrify their fleet vehicles.

A. As described in the testimony of the Gas Infrastructure and Operations Panels, National Grid is targeting to fully electrify its light-duty fleet by 2030. To that end, KEDNY and KEDLI are proposing to replace approximately 680 internal combustion engine vehicles with electric vehicles ("EVs"), and to make investments in charging infrastructure and mobile charging solutions. Converting to EVs will reduce GHG emissions and ambient noise pollution. The Companies are proposing to deploy the largest number of EVs at their Greenpoint and Brentwood operating yards, which are located within the boundaries of Disadvantaged Communities, and will improve air quality in these neighborhoods.

Q. Are the Companies pursuing federal funding to achieve their objectives?

A. Yes. As discussed in the Companies' March 23rd letter to Chair Christian (filed in Case 22-M-0149), National Grid developed a targeted, purpose-driven approach to securing federal funds for key energy projects following enactment of the Infrastructure Investment and Jobs Act and the Inflation Reduction Act. Although most of those opportunities focus on electric-related investments, the Companies remain committed to identifying areas where they can leverage federal funding to advance CLCPA goals while mitigating customer bill impacts. One example is KEDNY's efforts to secure a $1 million Department of Energy cost sharing grant

for a gas demand response and hybrid electrification pilot program (filed in Matter 23-00775). The program seeks to work with a low-to-moderate income multi-family heating customers and residential customers to test technologies and methods for increasing customer participation in demand response programs.

Q. Please discuss the earnings adjustment mechanisms ("EAMs") proposed by the Companies.

A. The investments, products, and services proposed in these filings are designed to deliver outcomes that empower customers to manage their energy consumption, while at the same time achieving the Commission's objectives of promoting energy efficiency, reducing carbon emissions, and promoting energy affordability. To emphasize the importance of these outcomes, the Companies have included EAMs to incentivize performance in the areas of energy efficiency, demand response, and energy affordability. Achievement of the ambitious targets set out in the EAMs will require the Companies not only to leverage the programs and services that will be created through the investments contained in these filings, but also challenge the Companies and our customers to increase our focus on providing more affordable and sustainable energy.

D. Site Investigation and Remediation

Q. What do the Companies propose relative to recovery of their SIR costs?

A. KEDNY and KEDLI's SIR programs involved the management, investigation, and remediation of legacy manufactures gas plant ("MGP") operations. KEDNY is also responsible for two federal Superfund sites associated with waterways adjacent to former MGP sites. The Companies are presently engaged in clean-up activities at these sites, which will continue well beyond the Rate Year and Data Years. While the Companies actively try to manage and control SIR costs, including taking action to reduce MGP site cost responsibility, the scope and timing of activities at these sites are ultimately subject to the purview of the Environmental Protection Agency and New York State Department of Environmental Conservation. The Companies propose to recover future SIR costs in a manner consistent with present recovery methods, including maintaining the SIR Recovery Surcharge and annual reconciliation mechanisms to defer costs above/below the allowance for future refund or recovery from customers. Company Witness Charles Willard addresses our SIR programs, cost mitigation efforts, proposed funding levels, and the status of work at major MGP sites, including the Gowanus Canal and Newtown Creek Superfund sites. The remediation of these Superfund sites is likely to have a significant impact on KEDNY's cash flows and thus it is particularly important for the Commission to approve KEDNY's SIR cost recovery proposals.

E. The Companies' Gas Rate Filings

Q. Please address the review and presentation of the cost of service data in the Historic Test Year and the Rate Year.

A. The Revenue Requirements Panels describe how the cost data included in the Companies' filings was reviewed and prepared. To facilitate Department of Public Service Staff's ("Staff") review of Historic Test Year costs, National Grid reviewed the accounting for costs charged to the Companies in the Historic Test Year. This detailed review included a comprehensive review of Service Company and operating company costs in the Historic Test Year, including labor allocations, vendor charges and employee expenses, among other items. The review was focused on verifying that the Historic Test Year costs were charged correctly in accordance with National Grid's cost allocation methodologies and were appropriate to include in KEDNY and KEDLI's cost of service. The Companies' review should facilitate Staff's timely audit of costs included in KEDNY and KEDLI's revenue requirements.

Q. What rate of return on equity and capital structure do the Companies propose?

A. We are proposing a return on equity of 9.8 percent for the Rate Year and a capital structure with a 48 percent equity component. For a multi-year rate plan, the Companies propose that their returns on equity reflect a premium of 50 basis

points, as discussed in the testimony of Company Witness Nowak and the Capital Structure Panel. The rate filings should establish rates that compensate KEDNY and KEDLI's for the cost of providing service to customers and afford the Companies a reasonable opportunity to earn allowed returns on equity that are commensurate with enterprises of similar risk. Investors use the return on equity as a key benchmark in assessing investment opportunities in public utilities. A return on equity that is below what investors believe they can earn on investments in companies with similar risk would impair the Companies' ability to attract capital, both debt and equity, on reasonable terms.

F. Stakeholder Outreach and Engagement

Q. Please describe the Companies' commitment to stakeholder outreach as part of this case.

A. An important piece of feedback from the 2019 KEDNY and KEDLI Rate Cases was stakeholder interest in understanding and participating in the rate case process. Toward that end, the Companies initiated pre-filing outreach to a variety of stakeholder groups representing low-income customers, fixed-income customers, municipalities, environmental interests, and large commercial and industrial users, among others. The Companies, in accordance with the Commission's regulations, have included a bill insert to notify all customers of this proceeding. And, going forward, the Companies will be helping to educate

customers on how they can learn more about the Companies proposals and participate in the rate case process.

IV. Conclusion

Q. Please summarize your testimony.

Our core responsibility is providing safe and reliable service to the millions of customers who rely on us for life-sustaining energy, while building and maintaining the delivery networks that will support a sustainable energy future for the next generation of New Yorkers. The proposals in these rate cases will modernize the Companies' infrastructure, reduce system emissions, improve safety, enhance customer service, and deliver aggressive efficiency and other non-infrastructure programs. But our ability to deliver on these priorities requires updated delivery rates to compensate the Companies for the reasonable costs of providing service to millions of customers, and to maintain financial stability and enable access to debt capital that will fund the needed investments to improve the resiliency, safety, and reliability of the gas networks. Recognizing the imperative to manage customers' bills, these filings balance the need for continued investment with the need to maintain affordability and protect our most vulnerable customers.

National Grid looks forward to continued collaboration with stakeholders in these rates cases to deliver on our shared goals to advance energy policy in New York.

Q. Does this conclude your testimony.

A. Yes.

INDEX OF EXHIBITS

Exhibit ___ (POLICY-1): Revenue Requirement Increases by Cost Category

Exhibit ___ (POLICY-1)
Revenue Requirement Increases by Cost Category

Revenue Requirement Increases by Cost Category

Cost Category	Description of Costs	Delivery Bill Increase		Revenue Requirement Increase	
		KEDNY	KEDLI	KEDNY	KEDLI
Return	Update to weighted average cost of capital; proposing an ROE (9.8%) at the low end of the range recommended by our expert witness	5%	5%	18%	21%
Core Business Support	Impacts of inflation on O&M costs (e.g., labor, contractors) and IT investments that have enabled sustainable efficiencies	5%	5%	20%	22%
Savings	Evolution Program and unidentified productivity savings	-1%	-1%	-5%	-5%
New Initiatives	New customer, safety, compliance, and clean energy investments (e.g., OQ and leak programs; consumer advocates and customer service enhancements; future of heat)	3%	2%	9%	9%
Rate Base	Safety and reliability investments offset by revenues	3%	-1%	11%	-4%
Environmental	Environmental remediation driven by our federal and state regulators	2%	0.3%	7%	1%
Energy Efficiency	Funding for NE:NY programs	1%	1%	3%	5%
Depreciation/ Amortization	Timing related recovery of capital investments and other prudently incurred costs	7%	4%	25%	14%
Property Taxes	Imposed by municipal taking authorities (under-recovered $74M over current rate plan)	3%	8.7%	12%	37%
Totals		28%	24%	100%	100%